Elgi Equipments Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

Coimbatore-based maker of air compressors (industrial screw and piston, portable, oil-free, and now vacuum) and automotive garage equipment, sold through distributors in India, North America, Europe, Australia and Southeast Asia. Earns extra from spare parts (aftermarket).

- Market cap about Rs 17,823 cr.
- FY26 consolidated sales Rs 3,951 cr, up 13%; net profit Rs 430 cr (helped by property-sale income).
- Operating margin has sat around 14-16% for four years: it keeps about a seventh of sales as operating profit.
- Sep 2026 quarter (consolidated): sales Rs 1,134 cr, up 17%; operating margin 16% vs 14% a year ago; net profit Rs 128 cr vs Rs 121 cr (last year's quarter had a one-off gain from selling property).
- Promoters hold 31.19%, unchanged. Net cash position described as very strong.

2. Concall coverage

The Q2 FY27 call was held (Nov 2026) but its transcript was not yet published on Screener when this report was written. The latest deep read is the Q1 FY27 call (14 Aug 2026); the Sep 2026 quarter is covered from the reported numbers.

Quarter	Date	Transcript read?
Q1 FY26 → Q3 FY26 (3 calls)	Aug 2025 → Feb 2026	Skimmed for guidance and promises
Investor & analyst meet (FY31 targets)	26 Feb 2026	Key sections
Q4 FY26	29 May 2026	Key sections
Q1 FY27	14 Aug 2026	Yes, in full ★
Q2 FY27	Nov 2026	Transcript not yet out

About one and a half years of calls read closely, out of a history going back to 2018 on Screener. Earlier calls (FY25) set the tariff and Europe backstory.

Latest concall highlights: Q1 FY27 (14 Aug 2026), plus Sep 2026 quarter numbers

- Q1 FY27 revenue up about 23% (7 points from currency), EBITDA up 28%. India standalone grew about 28%, North America 37%, Europe 21%, Australia 17%. Growth in India was mainly volume.
- Demand=Match, its own compressor technology launched in India in Sept 2025, is winning customers who were never Elgi customers; it goes global this year and will be in all products within a year.
- Raw material costs rose 5-6% vs the 3% it had priced for; price corrections land late in Q2 and fully in Q3. MD expects margins to keep improving barring tariff shocks.
- New 'tier 4' low-cost compressor range to fight cheap Chinese machines: first orders in, formal launch in September 2026 with new distributors. Small this year.
- Sep 2026 quarter numbers: sales up 17%, operating margin up to 16% from 14%.

Business mix & capacity

- Domestic vs export: India is about 47% of revenue and 82% of EBITDA (Feb 2026 investor meet), so overseas sales are a little over half but earn much less.
- Capacity utilization: not disclosed. Capex is going to the MK2 campus move from the city factory, land in Italy and an in-house motor plant (85-90% of motors made in-house).

3. Earning trigger thesis

Elgi's trigger is its own technology and cost work: the Demand=Match feature pulling new customers in India and now rolling out worldwide, in-house motors cutting cost, and a new low-cost tier 4 range. Management's FY31 target is USD 750 mn revenue at an 18% EBITDA margin, up from about 15% in FY26. Overseas (Europe, Southeast Asia, Australia service) remains the drag.

Trigger	What management said	Evidence so far	Time horizon	Strength
Demand=Match technology	Outstanding traction in India; global rollout this year (Aug 2026)	India +28% in Q1 FY27; mgmt said in May 2026 the contribution was still very small	1 year to full rollout	Moderate: early but showing
Margin to 18% by FY31	Cost reduction, motor in-sourcing, process layer, price corrections	Q2 FY27 operating margin 16% vs 14%; FY26 closed at 15% vs 16% target	FY31	Moderate
Tier 4 low-cost range	Launch Sept 2026 with new distributors	First orders received	Next few years	Unproven
Vacuum products (Italian JV)	Local production started, phenomenal growth from small base	Selling, no numbers given	Medium term	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Already net cash
New business	Yes	Tier 4 compressor range launching Sept 2026; vacuum products now locally made (Aug 2026)
Margin up	Yes	'We have maintained our EBITDA percentage... I think it will only continue to improve' (Aug 2026)
New management	No	Not discussed
New capacity	No	Capex is a campus move and motor plant, no new compressor capacity start named
Big orders	No	No order book business
Turnaround	No	Europe at breakeven but not called a turnaround
Promoter buying	No	Promoter stake flat

Single concrete driver: Demand=Match technology and in-house motors are lifting India volumes and margins, with a global rollout and a low-cost range to follow.

3c. Margin bridge

Consolidated operating margin was 16% in the Sep 2026 quarter vs 14% a year ago, after FY26 slipped to 15% on tariffs, product mix and raw material costs. Management credits volume growth, cost reduction (in-

house motors) and reorganisation in Australia, Europe and the US, with price corrections still to come in Q2-Q3, and calls it ongoing rather than one-time (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY21 five-year plan	USD 450 mn revenue, 16% EBITDA margin, 30% ROCE by FY26	About USD 440 mn at floating rates; 15% margin; 35% ROCE	Partly
FY25-FY26 calls	Absorb US tariffs without hurting profitability	Tariffs cost about 1% of margin in FY26; mix and tariffs dented contribution	Partly
FY26 calls	Europe to break even and come back in medium term	Breakeven at euro level; still called a disappointment in Feb 2026	Partly
Q4 FY26 call	Launch Demand=Match response / tier 4 in India in September	First orders by Aug 2026, launch scheduled Sept 2026	On track
Q1 FY27 call	Price corrections recover raw-material inflation by Q3	Q2 margin rose to 16%	Too early, good start

The story has been steady for years: technology, energy efficiency, building distribution abroad. The record on targets is near-miss rather than miss, and the overseas problems (Europe, Southeast Asia, US distribution service) keep being pushed to the medium term.

5. Bottom line

Durable earning trigger? → YES

A named, company-specific driver (Demand=Match plus cost work) that is showing in India volumes and in the latest quarter's margin. Tier 4 and the global rollout are still to prove themselves.

Management consistent? → MAYBE

Sensible and candid, and the big FY26 targets were nearly met, but margin fell short, the tariff impact was larger than first said, and overseas fixes keep slipping out.

6. Checkpoints for next quarter

- Operating margin improves again as price corrections take full effect
- Tier 4 range is selling through its new distributors
- Demand=Match launches in markets outside India

Sources

- Screener.in: ELGIEQUIP financials and concall transcripts

This is not investment advice. Do your own due diligence.